ROLL-TO-GARMENT · FOR ALI · OCTOBER 2026

Canadian public money: what we can realistically get

Short answer: about **CAD 1.3–3.5M of free money** in the first two years, plus **CAD 0.5–3M of interest-free loans**. With a manufacturer partner on a cluster project, it can reach **CAD 6–8M**. The biggest piece is a cash tax refund on R&D, and we only get it if the company stays Canadian-controlled.

$1.3–3.5M
Non-repayable, first 24 months

$0.5–3M
Interest-free loans

$6–8M
Upside with a partner project

Where it comes from

SOURCE	TYPE	REALISTIC FOR US	CATCH
SR&ED (federal)	35% cash refund on R&D spend	$0.8–1.1M	Must stay Canadian-controlled; up to $2.1M/yr, now law
Ontario R&D credit	8% cash refund	$0.15–0.25M	Ontario R&D, Canadian-controlled
NRC IRAP	Grant	$50–200k first	Grows with an IRAP advisor relationship
Mitacs / NSERC / OCI	University cost-share	$0.1–0.4M	Needs a professor partner
NGen, Scale AI	Cluster grants	$0–2M	Open call plus a manufacturer partner
FedDev AI initiative	Interest-free loan	$0.25–2M	Up to 50% of costs, repaid later
Tariff response fund	Grant + loan	$0–1M grant	Built for operating businesses hit by US tariffs
BDC Industrial Innovation Fund II	Equity ($200M fund)	seed co-investor	Targets robotics and automation; dilutive

The catch

The R&D refunds only go to Canadian-controlled companies. If Saudi investors control us, or we become a subsidiary of a US parent, we lose roughly **CAD 0.5–1M a year**.

The setup that keeps it

- Canadian parent company, founder-controlled through the seed.
- Saudi and US money as non-controlling stakes.
- US subsidiary for US sales and US-facing investors.
- If we flip to a US parent later, file the R&D claims first.

Next steps

1. Incorporate as an Ontario Canadian-controlled company; tax lawyer reviews the cap table before the first cheque.
2. Book an NRC IRAP advisor call; start R&D timesheets from day one.
3. Sign a university partner (fabric handling or vision) for Mitacs and NSERC.
4. Line up a uniform or apparel manufacturer as partner for the next NGen or Scale AI call.

Amounts are CAD estimates for an Ontario company with 6–8 engineers. Program figures from Oct 2026 web research; confirm each before applying. Not tax or legal advice. Full breakdown with sources: Canada Public Funding Map.